

Executive Summary

Abbott Diabetes Care (ADC) is at a strategic and complex crossroads as artificial intelligence (AI) becomes more embedded in healthcare, the regulatory environment is both a constraint and a catalyst. In this report, I assess ADC's general environment using the PESTEL framework and evaluate its industry dynamics through Porter's Five Forces. Regulatory pressure stands out as the most influential factor. ADC's work in continuous glucose monitoring (CGM) is tightly bound to FDA approval cycles and HIPAA compliance. ADC's cautious approach to AI and strong partnerships position it to navigate an opportunity rich environment.

Part 1: General Environment

Abbott Diabetes Care operates in a highly regulated healthcare environment where external forces—especially regulatory, technological, and socio-cultural—shape both the pace and direction of strategic decisions. These factors influence everything from product development to digital engagement, particularly as ADC expands access to continuous glucose monitoring (CGM) systems and cautiously integrates AI.

- **Political – Opportunity and Threat** ADC's partnerships with Medtronic, Tandem Diabetes Care, and Sequel Med support integration of its dual glucose-ketone sensor, aimed at preventing ketoacidosis and address a major unmet need in

diabetes care.¹ ADC's ability to scale these innovations depends on stable regulatory support and payer alignment.

- **Economic** – *Opportunity* Expanded CGM access under American Diabetes Association (ADA) guidelines opens a vast underpenetrated market.² Abbott's acquisition of Bigfoot Biomedical strengthens its digital insulin support capabilities, aligning with this growth.
- **Socio-cultural** – *Opportunity* ADC operates in a space where patient safety, data privacy, and clinical efficacy are paramount. Younger, tech-savvy consumers increasingly expect digital-first engagement, and ADC's website, marketing content, and customer support are shaped by these expectations. The company's emphasis on individualized care aligns with broader cultural shifts toward personalization and proactive health management. Features like "Add to Wallet" for FreeStyle Libre 3 trial offers reflect a responsiveness to mobile-first consumer expectations.³
- **Technological** – *Opportunity and Threat* Abbott's strength in biosensor development positions it well, but its digital experience and AI deployment remain cautious. While ADC's AI tools are internal-facing, they support operational

¹ MedTech Dive. (2025, October 30). *Abbott's new diabetes leader talks CGM access, AI and partnerships*. <https://www.medtechdive.com/news/abbott-new-diabetes-leader-q-and-a/750631>

² Drug Delivery Business. (2025). *Largest diabetes tech companies in the world*. <https://www.drugdeliverybusiness.com/largest-diabetes-tech-companies-in-the-world/>

³ See Abbott Laboratories. (2025). *FreeStyle Libre 3 Free Trial Offer*. <https://www.freestyle.abbott/us-en/myfreestyle-freestyle-libre-3.html> and fill out the form for the free trial to view the "Add to Wallet" functionality.

efficiency and reinforce its compliance-first strategy. The Bigfoot acquisition adds new capabilities in insulin dosing support but digital experience gaps remain.⁴

- **Environmental – Threat** Environmental regulations around medical waste and packaging may increase operational costs. ADC could turn this into an opportunity by investing in sustainable device design and circular supply models.⁵
- **Legal – Threat and Opportunity** Changes in marketing content and product development hinge on FDA approval and HIPAA compliance. These constraints inform everything ADC does—including website development and customer support—and shape its cautious approach to AI integration. But this regulatory rigor also presents an opportunity: it forces ADC to thoroughly vet innovations before launch, ensuring that new tools and messaging not only meet legal standards but also align with consumer expectations and Abbott’s core values of safety, trust, and care. This deliberate approach forms the foundation of Abbott’s reputation in many respects.

Part 2: Industry Analysis

Abbott Diabetes Care operates within the competitive landscape of diabetes technology, where continuous glucose monitoring (CGM) systems are rapidly evolving. Using Porter’s Five Forces, we can assess the most influential industry pressures and determine whether the overall environment is attractive or challenging.

⁴ Whooley, S. (2024, June 24). *Why Abbott acquired Bigfoot Biomedical and its smart insulin pens*. Drug Delivery Business News. <https://www.drugdeliverybusiness.com/abbott-acquisition-bigfoot-biomedical-9-months-later/>

⁵ Abbott Laboratories. (2025). *Sustainability | Responsibility*. <https://www.abbott.com/responsibility/sustainability.html>

Force	Threat Level	Key Insights
Bargaining Power of Buyers	Medium to High	Buyers include patients and payers (e.g., Medicare, Medicaid, insurers). Expanded CGM access increases demand, but payers scrutinize cost-effectiveness and influence pricing through coverage decisions. ⁶
Bargaining Power of Suppliers	Medium	ADC relies on specialized suppliers for biosensors, adhesives, and digital components. The Bigfoot acquisition adds complexity, increasing reliance on software and connectivity vendors. ⁷
Threat of New Entrants	Low to Medium	Regulatory barriers (FDA, HIPAA) deter entry, but tech giants like Apple and Alphabet are exploring non-invasive glucose sensing. These wellness platforms could shift consumer expectations. ⁸
Threat of Substitutes	Medium	Low cost alternatives like fingerstick meters and general wellness apps challenge CGM adoption. ADC differentiates through clinical validation and integration. ⁹
Competitive Rivalry	High	Dexcom and Medtronic drive intense competition which presents pressure on ADC to accelerate its roadmap.

Overall Industry Attractiveness – Moderately Attractive

The diabetes tech industry offers strong growth potential, driven by rising prevalence, expanded coverage, and demand for personalized care. However, high rivalry, regulatory complexity, and evolving buyer expectations make it a challenging space. ADC's scale, partnerships, and regulatory expertise provide a defensible position, but continued innovation and strategic alignment are essential.

Taken together, ADC's general environment and industry dynamics suggest a moderately attractive strategic landscape. Regulatory rigor and high rivalry present

⁶ MedTech Dive (2025).

⁷ Abbott Laboratories. (2023, September 5). *Abbott to Acquire Bigfoot Biomedical*. <https://abbott.mediaroom.com/2023-09-05-Abbott-to-Acquire-Bigfoot-Biomedical,-Furthering-Efforts-to-Develop-Personalized,-Connected-Solutions-for-People-with-Diabetes>

⁸ SimplyMac. (2025, May 3). *Apple Watch Making Progress In Non-Invasive Blood Glucose Monitoring Feature*. <https://www.simplymac.com/apple-watch/apple-watch-making-progress-in-non-invasive-blood-glucose-monitoring-feature>

⁹ SWOTAnalysis.com. (2025). *Dexcom SWOT Analysis & Strategic Plan Q4*. <https://www.swotanalysis.com/dexcom>

challenges, but ADC's scale, partnerships, and cautious AI integration offer a defensible position. To sustain competitive advantage, ADC must accelerate its digital roadmap while maintaining its core values of safety, trust, and compliance. ADC's internal strengths in regulatory navigation and biosensor innovation align well with external pressures, positioning it to lead responsibly in a competitive space.